IN THE SUPERIOR COURT OF JUDICATURE, IN THE HIGH COURT OF JUSTICE, LAW COURT COMPLEX COMMERCIAL DIVISION (10) HELD IN ACCRA ON FRIDAY THE 16TH DAY OF JANUARY, 2026 BEFORE HER LADYSHIP ADELAIDE ABUI KEDDEY J.

SUIT NO: CM/MISC/0395/2024

IN THE MATTER OF THE COMPANIES ACT, 2019 (ACT 992)

AND

IN THE MATTER OF PERFECT PERSONAL CARE LIMITED (THE COMPANY

AND

IN THE MATTER FOR AN APPLICATION UNDER SECTION 218 FOR DECLARATION AND INJUNCTION AND UNDER SECTION 219 FOR REMEDY AGAINST OPPRESSION

1. DIVINE STANLEY AGBOLA … APPLICANTS
2. JESSIE NAA AYORKOR AGBOLA

VRS

1. PERFECT PERSONAL CARE LTD
2. KWAME ADU GYAMFI … RESPONDENTS
3. HELENA ADU-GYAMFI

4. **SAMUEL APPIAH-AGYEI**

5. **BEATRICE CHRISTIE DOKU-APPIAH**

JUDGMENT

[1] The Applicants commenced the instant action by an Originating Notice of Motion dated 18th March 2024 against the Respondents under **Sections 218 and 219 of the Companies, 2019 (Act 992)**.

[2] This application is supported by a 30-paragraph Affidavit and a Supplementary Affidavit dated 5th June 2024.

[3] Subsequently, the instant Motion was amended with leave of the Court on 30th June 2025.

[4] It is the case of the Applicants that the 1st Respondent Company was incorporated to acquire and take over the business then being carried on under the name and style of PERFECT PERSONAL CARE ENTERPRISE, a business name, and to carry on the business of general trading, import and export of general goods.

[5] That, they together with the 2nd, 3rd, 4th and 5th Respondents are subscribers to the Regulations of the 1st Respondent, Perfect Personal Care Limited ("the Company) as well as members of the board of directors of 1st Respondent. The Company was incorporated on 5th July 2017.

[6] That they hold 5% each of the issued shares of the 1st Respondent whilst the 2nd, 3rd, 4th and 5th Respondents each hold 22.5% of the shares of the 1st Respondent and thus, the majority shareholders of the Company. This is evident from the Regulations of the Company and the Company profile. See Exhibits "JA1" and "JA2".

[7] It is the case of the Applicants that after fulfilling the conditions for subscription of availing their property worth not less than 1 million Ghana Cedis as security for a credit

facility for the Company, and becoming, subscribers to the Regulations of the 1st Respondent, the 2nd, 3rd, 4th and 5th Respondents who had all been involved with the business under the business name PERFECT PERSONAL CARE ENTERPRISE, prior to incorporation of the 1st Respondent, started mounting pressure on the Applicants to pay the sum of Two Hundred Thousand Ghana Cedis (GHC 200,000.00) representing "goodwill" to them (the 2nd, 3rd, 4th and 5th Respondents), the *"existing partners"*.

[8] That, the "goodwill" not being an outstanding liability on the shares held by the Applicants herein, the 1st Respondent never made a call on the said shares. Yet, the 2nd, 3rd, 4th and 5th Respondents withheld dividends due the Applicants on account of the unpaid "goodwill", held a meeting in New York of which no notice had been given the Applicants either as Directors or Shareholders.

[9] That, at the said meeting, the said Respondents purportedly made a call on the shares in their capacity as majority shareholders and also held a purported board meeting in December, 2022 of which no notice was given to any of the Applicants as Directors or shareholders.

[10] Further, the Majority Shareholder purportedly appointed new Auditors for the 1st Respondent by a board resolution at that meeting and have generally resorted to conducting the affairs of the Company to the exclusion and detriment of the Applicants.

[11] Thus, the Applicants have brought the instant application to vindicate their rights as shareholders of the Company and are seeking for the following reliefs:

a. A declaration that being Subscribers to the Regulations of the 1st Respondent, the Applicants do not owe any sums on their respective Shareholdings in the 1st Respondent Company.

b. A declaration that the Applicants are fully paid-up members of the Company.

c. A declaration that a meeting of the Shareholders of the Company purportedly held in New York on 19th September 2022 was unlawfully held and thus null and void.

d. A declaration that any resolutions purportedly carried out at the said meeting of 19th September 2022 were illegal and thus null and void.

e. An order setting aside any resolutions purportedly passed at the meeting of 19th September 2022.

f. A declaration that there was no valid call made by the 1st Respondent in respect of the shares held respectively by the Applicants in the Company.

g. An order restraining the 2nd, 3rd, 4th and 5th Respondents from purporting to enforce the resolutions passed at the said meeting of 19th September 2022 including a purported call on the respective shares held by the Applicants in the company.

h. A declaration that the insistence of the 2nd, 3rd, 4th and 5th Respondents that a company did make a valid call on the respective shares held by the Applicants in the Company and the threats by the said 2nd, 3rd, 4th and 5th Respondents to enforce same against the Applicants are conducts oppressive of the rights of the Applicants as Shareholders in the Company.

i. A declaration that the purported repayment to the 4th and 5th Respondents of the Sum of Forty Thousand United States Dollars (USS40,000) which was the consideration for the Shares held in the 1st Respondent by the 4th and 5th Respondents under the guise of being shareholders loan together with interest was an unlawful distribution of the assets of the 1st Respondent by the 2nd, 3rd, 4th and 5th Respondents.

j. An order directed at the 2nd, 3rd, 4th and 5th Respondents to buy out the respective Shares held by the Applicants in the Company after due Valuation of the Company on a going concern basis.

k. An order directed at the Respondents to pay over to the Applicants all their dividends withheld by the 2nd , 3rd, 4th and 5th Respondents together with interests thereon at the commercial lending rates from the dates such dividends had been declared till the date of final payment.

l. An order for recovery of the costs of this action on full indemnity basis against the 2nd, 3rd, 4th and 5th Respondents.

[12] In opposing the instant application, the 1st, 2nd and 3rd Respondents filed a 55-paragraph Affidavit in Opposition on 13th May 2024 and a Supplementary Affidavit in Opposition on 5th June 2024.

[13] It is their case that the 3rd Respondent conceived an idea to operate a commercial business in Accra and registered a sole proprietorship called Perfect Personal Care Enterprise (PPCE) with the support of 2nd Respondent.

[14] That the business expanded with reinvestment of profits made into the business, loan facilities from Republic Bank and 4th and 5th Respondents.

[15] That the Applicants and Respondents agreed that the Applicants (Divine and Jessie) will be given 5% shares and cumulatively hold 10% shares.

[16] That the netbook value of the company at that time was GHC3, 196,724.00, the parties agreed that since the Applicants were being given a 10% share in the company, they ought to pay a cash amount of GHC300,000. This equity payment was termed their goodwill contribution to the Company. The Applicants did not only agree to the payment of goodwill amount, but they in addition also pleaded for a reduction in the amount which the Respondents agreed to reduce the amount to GHC200,000.00.

[17] That at the time, the company was in need of finance, thus the Respondents requested of the Applicants to provide them with their property only to serve as a collateral for a loan they were taking. All other shareholders had given their property for collateral at different points. The Applicants agreed to this of which the loan was obtained from Access Bank, the loan has been paid off and their property has been returned to them wholly unencumbered.

[18] The said Respondents contend that to make the Applicants fully a part of the 1st Respondent company and to give them access, the 1st Applicant was made the board chairman of the 1st Respondent company who convened all meetings, while the 2nd Applicant was made the Executive Director in charge of Human Resources and Investment. Due to her role she eventually became the de facto company secretary who wrote all minutes of meetings.

[19] Subsequently, the Applicants pleaded with the Respondents that their GHC200,000 goodwill amount which is their payment for shares should be paid in the following manner:

- GHC40,000 will be paid to the 1st Respondent in cash
- Their dividends due them when dividends are declared by the company should be used in defraying the outstanding amount on the GHC200,000.

[20] Consequently, dividends of GHC10,000 due Applicants were used to defray part of their amount owed bringing their indebtedness to GHC150,000.

[21] That at the meeting in 2020, the 1st Applicant as board chairman brought up the issue of the payment of dividends where he requested that since the 2nd Respondent is directly involved in the company, she will need to be motivated therefore she should be paid her 5% dividends on the shares (that means the 10% on shares arrangement should be looked at again). That the Applicants further committed that by the 31st day of July 2021 they intended to finish paying the balance owed to the company on the goodwill amount.

[22] The Respondent then decided that since the Applicants have given a firm commitment on the payment, all the 10% dividends due on the shares should be paid to them while they make alternative arrangements to pay the amount owed on the shares. That the Applicants agreed to same.

[23] The said Respondents contend that the Applicants after requesting for extension could not make the payments. Therefore the 1st Respondent commenced procedures for the forfeiture of the share held by the Applicants.

[24] After the shares were forfeited, the Applicants began alleging that the 1st Respondent was being run in an oppressive manner against them. That these allegations are false. Also, no amounts were advanced from the 1st Respondent to the 4th and 5th Respondents as alleged by the Applicants.

[25] Further, the company has had to make changes in the wake of the new Companies Act which mandated specifications for auditors and company secretary. That the appointment of the Auditor was mandatory pursuant to section 139(11) of Act 992 after the previous auditors had served a tenure of six years.

[26] It is the case of the 1st, 2nd and 3rd Respondents that the Applicants have failed to establish a claim of oppression or abuse of rights against them.

[27] Likewise, the 4th and 5th Respondents filed an Affidavit in Opposition on 29th May 2025.

[28] It is the case of 4th and 5th Respondents that the 1st Respondent company started as an enterprise funded from the pockets of the members being 2nd to 5 Respondents.

[29] That at a point in the business somewhere in 2007, the 1st Respondent needed money in the form of a loan. Thus the 2nd and 3rd Respondents consulted the 4th and 5th Respondents who agreed to advance a loan of Forty Thousand United States Dollars (USD40,000) to the business.

[30] That the loan was used to facilitate the business until the 1st Respondent was incorporated when the said loan was converted into equity.

[31] They contend that the 1st Respondent has made a valid call on the Applicants to settle their just obligation on the shares issued to them. that having failed to redeem same, it is not out of order that they be denied certain rights associated with the said shares, which in this case is the failure to be given notice of the meeting of 1st Respondent. Therefore, the sanctions meted out to them by its directors in a properly constituted Board meeting cannot be understated and called illegal simply because the Applicants were not in attendance of same.

[32] That those sanctions do not also constitute oppression within the meaning of the law particularly when the Applicants have always know that their default may result in such an action being taken against them.

[33] The said Respondents further contend that the use of a personal asset (s) to secure loans for the 1st Respondent was not exclusive to the Applicants herein. That other shareholders have also had to do the same whilst also making good on all liabilities on shares issued to them.

[34] That the use of landed property belonging to the Applicants as collateral for loans raised by the 1st Respondent company was never intended as sole consideration and/or condition for the issuance of shares to the Applicants.

[35] It is the case of the 4th and 5th Respondents that the Applicants are not entitled to their reliefs.

ISSUES

[36] The issues arising are as follows:

1. Whether or not the "goodwill" claimed by the 2nd to 5th Respondents is in respect of the Shares held by the Applicants in the 1st Respondent company.

2. Whether or not there was a valid call by the 1st Respondent of the Shares held by the Applicants in the Company.
3. Whether or not the meeting held by the Respondents without any notice to the Applicants was lawful.
4. Whether or not the appointment of new Auditors by the 2nd, 3rd, 4th and 5th Respondents was lawful and
5. Whether or not the payment of USD40,000 by the 2nd and 3rd Respondents to the 4th and 5th Respondents with Interest represents an illegal distribution of the assets of the company.

ANALYSIS AND DECISION

[37] **Section 218 of Act 992** on Injunction or declaration in the event of illegal or irregular activity provide that members of a company may apply to the court for injunction to restrain the company from doing any act or entering into any transaction which is illegal or ultra vires or which infringes any provision of its regulations, or from acting on any resolution not properly passed in accordance with the Act and the company's Regulations. The courts reserve the right to declare such acts void.

[38] **Section 219 of Act 992** on Remedy against oppression states as follows:

> (1) A member or debenture holder of a company or, in a case falling within section 234, the Registrar may apply to the Court for an order under this section on the ground that
>
> (a) the affairs of the company are being conducted or the powers of the directors are being exercised in a manner oppressive to one or more of the members or debenture holders or in disregard of the proper interests of those members, shareholders, officers, or debenture holders of the company; or 176 Companies Act, 2019 177 Act 992

(b) an act of the company has been done or is threatened or that a resolution of the members, debenture holders or a class of them has been passed or is proposed which unfairly discriminates against, or is otherwise unfairly prejudicial to, one or more of the members or debenture holders.

(2) Where on the application, the Court is of opinion that either of the grounds set out in subsection (1) is established, the Court may, with a view to bringing to an end or remedying the matters complained of, make an appropriate order; and, without limiting the effect of this subsection, the Court may by order,

(a) direct or prohibit an act or cancel or vary a transaction or resolution;

(b) regulate the conduct of the affairs of the company in future; or

(c) provide for the purchase of the shares or debentures of any members or debenture holders of the company by other members or debenture holders of the company or by the company itself; and in the case of purchase of shares by the company without regard to the limitations imposed by sections 61 to 65, other than subsections (4), (5) and (6) of section 61…

[39] The position of the common law relating to the right of the minority members or individuals of a company to institute proceedings against the company is espoused in the celebrated case of ***Foss v Harbottle (1843) 2 Hare 461***.

[40] The rule in *Foss v Harbottle* is to the effect that a court will generally refuse to entertain action by minority shareholders or individual members of a company. However, the Ghanaian law has modified the rule in Foss v Harbottle. Thus, under sections 218 and 219 of the Companies Act 2019 (Act 992) individual members are vested with the right to sue a company.

[41] In the case of ***Asafu-Adjaye v Agyekum (1984-86) 1 GLR 382***, Osei-Hwere JA (as he then was) held that to bring a petition under section 218(1) of Act 179 (now section 219 of

Act 992), there has to be proof that the conduct complained of was oppressive to one or more of the members of the company. Oppression here meant "burdensome harsh and wrongful" and a petitioner had to establish not only that the affairs of the company had been conducted in an oppressive manner in that sense, but also that there had been some element of lack of probity or fair dealing to him in his capacity as a shareholder.

[42] Also, in the case of ***Aboagye v Tetevi (1976) 1 GLR*** (which was decided under the old Companies Act, 1960 (Act 179) which is similar to the new Act 992. It was held by Edusei J (as he then was) that:

> *"In the circumstance envisaged under section 218 {1} {a} of Act 179, it was clear that a member or debenture holder could bring an application under the section. Also where the powers of the director were being exercised in disregard of the interest of an officer of the company such an officer who was also a member could equally proceed under section 218. Therefore, a member or shareholder who was also a director or secretary or employee could bring an application under section 218 of the code to protect his interests in the company"*

[43] The burden of proof and standard of proof in civil cases is summed up in the Supreme Court case of ***Gihoc v Hanna Assi [2005-2006] SCGLR 458 at 485*** where Sophia Akuffo JSC in her judgment referred to the case of ***Odametey v Clocuh [1989-90] 1 GLR 14, Odonkor v Amartei [1992-93] GBR 59 and Tuakwa v Bosom [2001-2002] SCGLR 61*** and stated as follows:

> "*Since the enactment of NRCD 323, therefore, except otherwise specified by statute, the standard of proof (the burden of persuasion) in all civil matters is by a preponderance of the probabilities based on a determination of whether or not the party with the burden of producing evidence on the issue has, on all the evidence, satisfied the judge of the probable existence of the fact in issue …hence, by virtue of the provisions of NRCD 323, in all civil cases, judgment might be given in favour of a party on the preponderance of the probabilities…"*

[44] In the case of ***In Re Ashalley Botwe Lands [2003-2004] SCGLR 420***, the Supreme Court held that whereas the onus is on a Plaintiff to lead evidence that would tilt the balance of probabilities in his favour, the burden of producing evidence is not fixed but shifts from party to party depending on the issue asserted or denied. See Sections 11(1) and 12(1) of NRCD 323.

[45] In support of its case, the Applicants attached the following as documentary evidence:

- ***Exhibit "JA1"*** – Regulations of the Company dated 5th July 2017.
- ***Exhibit "JA2"*** – Company Profile dated 10th August 2023.
- ***Exhibit "JA3 series"*** – Minutes of Meetings of the Board of Directors of the Company dated 23rd April 2019, 26th December 2019; 6th July 2020; 12th December 2020 and 2nd June 2021.
- ***Exhibit "JA4"*** – Letter dated 22nd September 2022 from the 2nd, 3rd, 4th and 5th Respondents to the Applicants.
- ***Exhibit "JA5"*** – Letter dated 26th October 2022 from the Applicants to the 2nd, 3rd, 4th and 5th Respondents.
- ***Exhibit "JA6"*** – Minutes of Board of Directors of the Company held on 23rd August 2022.
- ***Exhibit "JA7 series*** – Audited Financial Statements of 1st Respondent filed with the Office of the Registrar of Companies.
- ***Exhibit "JA8"*** – Copy of a table showing 1st Respondent's Dividend Payment for the period 2017 to 2022.
- ***Exhibit "JA9" series*** - Copies of Correspondence between Applicants and Respondents.

[46] The 1st, 2nd and 3rd Respondents also attached to their Affidavit in Opposition the following documental evidence:

- ***Exhibit "PPC1"*** – A copy of Certificate of Registration (Perfect Personal Care Enterprise)
- ***Exhibit "PPC2"*** – A copy of the 2017 Unaudited Financial Statements of Perfect Personal Care Enterprise.
- ***Exhibit "PPC3"*** – Copy of Letter (CONVERSION OF PERFECT PERSONAL CARE ENTERPRISE TO A LIMITED LIABILITY COMPANY TO BE CALLED PERFECT PERSONAL CARE LIMITED) dated June 21, 2017.
- ***Exhibit "PPC4"*** – Copy of the Access Bank Overdraft Offer Letter dated January 5, 2023.
- ***Exhibit "PPC5"*** – A copy of the Minutes of the Board Meeting dated 6th July 2020.
- ***Exhibit "PPC6"*** – A copy of a payment record showing the payment of dividends to the 2nd Applicant.
- ***Exhibit "PPC7"*** – A copy of Minutes of the Board dated 23rd August 2022.
- ***Exhibit "PPC8"*** – A copy of the Message sent by 1st Applicant.
- ***Exhibit "PPC9"*** – Copy of a Letter dated 22nd September 2022.
- ***Exhibit "PPC10"*** – Copy of Board Minutes dated 2nd June 2021.
- ***Exhibit "PPC11"*** - A copy of a report from their Auditors on the subject: RECLASSIFICATION OF GOODWILL TO RECEIVABLE to their Supplementary Affidavit in Opposition dated 9th May 2025 addressed to the Board of Directors of 1st Respondent.

[47] I would now proceed to determine the issues.

<u>Whether or not the "goodwill" claimed by the 2nd to 5th Respondents is in respect of the Shares held by the Applicants in the 1st Respondent company.</u>

[48] What constitutes the 'goodwill' of a business? A determination of this issue in my view is the mainstay of the instant application and has a bearing on all connecting issues.

[49] Reference is made to the case of ***Madina Shopping Mall Association v Rosehill Gh. Ltd, E. M. Frimpong & Jimmy Nufu Civil Appeal No. J4/3/2009 dated 28th April, 2010***, where Her Ladyship Sophia Akuffo JSC quoted with approval certain definitions of goodwill within legal texts as follows:

> *"Legal texts define 'goodwill' variously as follows:-*
>
> *A business' reputation, patronage, and other intangible assets that are considered when appraising the business, especially for purchase; the ability to earn income in excess of the income that would be expected from the business viewed as a mere collection of assets." (Black's Law Dictionary, 8th Edition).*
>
> *"The benefit a business has from its reputation and trade connections. It is an asset of a business and may be dealt with separately from other assets." (Osborn's Concise Law Dictionary, 8th Edition).*
>
> *"The advantage arising from the reputation and trade connections of a business, in particular, the likelihood that existing customers will continue to patronise it." (Oxford Dictionary of Law, 6th Edition).*

[50] Further, Her Ladyship Sophia Akuffo stated thus:

> *"simply put, "it is the good reputation of an established business, seen as having an actual value' (Chambers 21st Century Dictionary). Thus, in more modern business context, intellectual property, such as business name, trademarks, brand name, market share, customer base, etc. will all form part of the goodwill of a software development company for example. It is for this reason that, regardless of the value of the tangible assets of a business, an interested buyer in whole or in part of that business, or prospective partner, would be willing to pay a price that is much higher, because of the perceived value or potential synergy of the intangible asset, goodwill, with his own business plans. Generally,*

goodwill does not attach to new premises (in the sense of the bare building about to be let out), no matter how fine, but rather to the business or businesses carried on therein.

[51] Lord Macnaghten in the case of ***Inland Revenue v. Muller and Co's Margarine Company, [1901] A. C. 224"*** defined goodwill as "the attractive force which brings in custom".

[52] Thus, the concept of goodwill is very broad. It encompasses brand names; trademarks; business name; reputation; market share; customer base; trade connections; attractive force of the business etc. In sum, goodwill is built on an ongoing business, it is earned overtime through appropriate business practices that build good reputation, customer loyalty, name brand and such positive operational attributes; it is not magically created at the beginning of a new business.

[53] ***Exhibit "JA1"*** (Adopted Regulations of the Company) shows that the 1st Respondent company, PERFECT PERSONAL CARE LIMITED was incorporated as a private company limited by shares on 5th July 2017 pursuant to section 24 of the Companies Act, 1963, (Act 179).

[54] Perhaps, the previous enterprise PERFECT PERSONAL CARE ENTERPRISE may have gained some goodwill having operated as a sole proprietorship for some years before 2017, for which the majority shareholders may want to benefit from. See ***Exhibits "PPC1"*** and ***"PPC2"***.

[55] The 1st, 2nd and 3rd Respondents contend that the Applicants were categorically made to understand that the goodwill amount was just a coined term for the amount that represents their consideration for the shares being offered them and that same was discussed earlier prior to the incorporation of the 1st Respondent company.

[56] However, the fact remains that PERFECT PERSONAL CARE ENTERPRISE is totally different from the 1st Respondent, PERFECT PERSONAL CARE LIMITED in terms of the rights and liabilities of the members.

[57] The 3rd Respondent deposed to the fact that the Applicants were made to understand that they had to use their property worth not less than One Million Ghana cedis (GHc1,000,000) to be added to the pool of security properties to be used to secure loans or overdraft facilities from Banks.

[58] In respect of 'Shares', **Section 42 of Act 992** states that (1) The shares of a member in a company are movable property. (2) The number of shares in a company and the rights and liabilities attaching to the shares are dependent on the terms of issue.

[59] Companies with shares may raise capital through the issue of Shares either through Subscription or sale of their shares to interested persons who provide consideration in cash or kind to the company. The considerations provided in return for the issued shares become the capital of the Company. See **Section 68 of Act 992**.

[60] Where the shares of the company are paid for in kind, there is a legal requirement under Section 45 (2) of Act 992 to comply with within 28 days after the allotment of shares.

[61] Since a Company is a separate legal entity from its members, the shares as assets of the Shareholders do not confer any interest on the shareholders in the assets of the company. Rather, it confers rights and liabilities on the shareholders.

[62] Those rights and liabilities of shareholders are generally stated in Act 992, the Constitution of the Company and the Agreement pursuant to which the shares are issued by the Company.

[63] ***Exhibit "JA2"*** which is the Company Profile shows the breakdown of Shares Allotment of 1,000,000 as follows:

- Kwame Adu-Gyamfi 22,500 (In cash) GHS

- Jessie Naa Ayorkor Agbola 5,000 (In cash) GHS
- Helena Adu-Gyamfi 22,500 (In cash) GHS
- Beatrice Christie Doku-Appiah 22,500 (In cash) GHS
- Samuel Appiah-Agyei 22,500 (In cash) GHS
- Divine Stanley Agbola 5,000 (In cash) GHS

[60] The directors listed in the Company Profile of 1st Respondent are the parties herein and the company registered with 1,000,000 Shares of no par Value.

[64] The amount stated for 1st Respondent as Stated Capital is 100,000.00 with the authorized Shares being Ordinary Shares.

[65] The definition of stated capital per **Section 68 (1) of Act 992** is the stated capital of a company with shares consists of the sum of the following items:

a) The total proceeds of every issue of shares for case, including the amounts paid on calls made on shares issued with an unpaid liability, less deductions for transactions costs that are direct and incidental to share issue,
b) The total value of the consideration, as stated in the agreement, received for every issue of shares otherwise than for cash, and
c) The total amount which the company by special resolution resolves to transfer to stated capital from reserves, as defined in section 70 including the credit balance on the share deals account referred to in section 65.

[66] The fact that there is no financial liability on the shares of Applicants as subscribers in 1st Respondent is cemented by the provision of **Section 45** of Act 992.

[67] **Section 45 (1) and (2)** states that except on a capitalization issue pursuant to subsection (1) of section 77, shares shall not be issued otherwise than for valuable

consideration paid or payable to the company and unless otherwise agreed, shares shall be paid for in cash.

[68] (2) where a company agrees to accept payment for shares otherwise than wholly in cash, the company shall, within twenty-eight days after the allotment of the shares, deliver to the Registrar for registration a contract in writing duly stamped evidencing the terms of the agreement and the true value of the consideration or, if the agreement has not been reduced to writing, particulars in the prescribed form of the agreement duly stamped, as if it were a written agreement.

[69] ***Exhibit "JA2"*** indicates that all the shares in respect of 1st Respondent company had been paid for with zero unpaid shares. In other words, it is evident that there was no other consideration payable other than in cash for the shares of all the subscribers and members of the company.

[70] The Respondents did not adduce any contrary evidence to show that they filed any other contract in writing duly stamped, evidencing any other terms of agreement or consideration for the issuance of the 10% shares to Applicants including the goodwill payment for registration in compliance with Section 45 (2) of Act 992 in the prescribed form.

[71] Then again, at paragraph 12 of ***Exhibit "JA7"*** series, which is headed Stated Capital in respect of the Financial Statements for the year ended 31st December 2020 as presented to the Registrar of Companies states as follows:

i) Authorised Shares

The company is registered with 1,000,000 ordinary shares of no par value

ii) Issued Shares …

There are no shares in treasure or any outstanding calls or instalment unpaid on any share."

[72] Therefore, it is established as a fact that the Applicants had no outstanding sums payable in respect of their shares in 1st Respondent at the time of its inception or incorporation.

[73] Further to that, it is evident from the first Minutes of the Board of Directors of 1st Respondent held at Aqua safari, Ada on April 23, 2019, that the shareholding status of the newly formed PPCL was reviewed as part of the Agenda for that meeting.

[74] Thus, paragraph 3 of the said minutes on the Shareholding status of 1st Respondent as presented and agreed on reads as follows:

- *Up to June 2017 – sole proprietor*
- *From July 2017 – changed to a Limited Liability company*
- *Shareholding –*
- *45% Adugyamfis*
- *45% Appiahs*
- *10% Agbolahs*
- *Effective date of admission 1 Jan 2018*
- *All retained profits to 31st December 2017 accrued to the Adugyamfis & the Appiahs. It was agreed that the Agbola's are to pay ghc200,000 as goodwill (in line with the valuation report) to the existing partners. It was further agreed that the Agbolas having paid GHC30,000 can also use their future dividend to pay for the remaining GHC170,000".*

[75] There was no indication that the goodwill was used interchangeably with shares. The shareholders themselves agreed that the agreed dividends of the Applicants would be used to defray a part of the goodwill. Thus, the shareholders themselves acknowledged that goodwill is distinct and separate from the shares of the company.

[76] In that regard, ***Exhibit "JA6"*** shows that at the Board Meeting Minutes dated Tuesday 23rd August 2022 held at Klagon Heights Conference Hall at 12:30pm, the Board

unanimously approved for the distribution of 20% among Shareholders (with no reservations) and 80% ploughed back into the business.

[77] It is also important at this point to reproduce ***Exhibit "JA4"*** titled "FINAL CALLS ON SHARES ALLOTED TO YOU". The relevant part reads as follows:

> *"…Per the Regulations of a Private Company Limited by shares on CALLS ON SHARES and per provisions of our Article of Association, I Helena Adu-Gyamfi acting as a secretary to the majority shareholders do hereby make a final call on the shares allocated to you to pay the unpaid balance plus interest by 10th October 2022. Please note that failure to do so will result in forfeiting 75% of the 10% shares allotted to you, leaving you 2.5% combined shares in PPCL.*
>
> *As you are aware, you owe on the 10% shares allotted to you a balance of GHS150,000 to be paid to the existing shareholders arising from the basis of terms upon which the shares were allotted to you. The terms as was spelt out to you to enable you acquire 10% shareholding in Perfect Personal Care LTD were:*
>
> 1. *Pay cash of GHS200,000 as goodwill to the existing shareholders*
> 2. *Provide a property worth over GHS 1m to be used to secure an overdraft facility from Access Bank*
> 3. *One of you must be an active partner of the company*
>
> *Based on the above offer, you provided a building worth GHS1.2m which was used to secure an overdraft facility of GHS1m from ACCESS BANK.*
>
> *However on the cash, you paid only GHS40,000. It was later agreed that you use your dividends to defray the remaining balance. Until March 2020, total dividend accrued to you was GHS10,000 and this was added to the GHS20,000 to bring total amount to GHS50,000.*

In a board meeting held in March 2021, you made a request that your entire dividend for 2020 should be paid to you and made a firm commitment to pay the entire balance of GH150,000 by July 2021. The majority shareholders in the same meeting agreed to your promise and hence paid your 2020 dividend to you.

Per section 19 of the Companies Act, 1963 (Act 179) on Regulations of a Private Company Limited BY SHARES, your promise and agreement to your promise by the majority shareholders to pay balance by July 2020 constituted the first call on the shares and hence a default to pay give rights to the existing majority shareholders to make a final call on the shares and also charge interest on the outstanding unpaid balance from the date the call was made at a prevailing interest rate in the country or you forfeit the shares. (Attached is a copy of the section in the companies' act on calls on shares by Private company Limited by Shares).

Per statutory provisions relating to calls on shares and procedure to be followed thereby and also per section 23 on FORFEITURE OF SHARES, the majority shareholders held a meeting in New York on 19th September 2022 and resolved that you be given 14days from 5th October 2022 to pay the GHS150,000 plus interest of GHS78,780 making a total of GH228,780 by 30th October,2022 or you forfeit 75% of the 10% shares allotted to you (Mr. & Mrs. Agbola). This will mean that your combined shareholding will reduce from 10% to 2.5% in line with the GHS50,000 or 25% paid out of GHS200,000.

Please note that after 30th October 2022, if you fail to make payment of the entire GHS228,780, the following will apply

1. *Since your shareholding will reduce to 2.5%, you can withdraw your document and replace it with a property of a lesser value.*
2. *You will also have the option to withdraw your entire ownership plus your documents and the existing shareholders will have the first right to buy back your 2.5% shares at a price to be determined.*

3. *Please note that after 30th October 2022, if you opt for either option 1 or 2 above, a statutory declaration will be made to cancel the shares unpaid and amount due you from retained earnings and dividend for 2021 & 2022 will be paid to you after deducting the GHS228,780 in line with section 26 of Regulations of a Private Company Limited BY Shares on forfeiture of shares.*

From the foregoing, please note that the above is a final call on the shares to pay the unpaid balance and interest thereon of GHC228,780 by 30th October. Failure to make payment into PPCL account at Republic bank or Access bank will result in forfeiting 75% of the 10% shares allotted to you."

[78] Likewise, ***Exhibit "JA5"*** which is the response by Applicants read as follows:

"…In line with the Companies Act, 2019 (Act 992), we wish to inform you that your letter captioned "Final Calls on Shares Allotted to You" has no legal basis due to the following reasons and therefore the Minority shareholders cannot be bound by it.

<u>As you may well know shareholders, whether majority or minority, in a meeting of which no notice was given cannot decide to make a call on shares validly, that is even assuming that shareholders had the right to make a call on shares.</u>

Again, as you may know, goodwill payment being extorted by Majority Shareholders has no basis in law as far as a private company limited by shares is concerned as a matter of law, and such attempts at extortion cannot form the basis of a valid Call on Shares; and hence the sections cited by you from the Regulations of Private Company Limited by Shares are clearly misapplied ignorantly or deliberately to a selfish end and we will resist any such attempts any day.

On Goodwill:

Your letter contains misleading information suggesting that our shareholding in PPCL is conditional on payment of GHS200,000.00 as goodwill to Majority Shareholders. This

clearly disregards the GHS1million agreed consideration (10% of GHS10,000,000.00 offered by PPCL) for our minority equity shareholding, which consideration was duly satisfied having provided property valued above GHS1million which property was used to secure working capital of GHS1million from Access Bank in 2017 and more funds subsequently.

Notwithstanding the above, this extortion in the name of demand for payment of cash amounting to GHS200,000.00 as goodwill to Majority Shareholders is being done, despite the fact that the book value of goodwill on the financial statements of PPCL remaining GHS180,000.00 since 2017 when we became part-owners of the business. It is quite illogical that by your calculation 10% of GHS180,000.00 (assuming this was legitimate, which is denied). To date, the total extorted from us on the account of goodwill amounted to GHS89,000.00; made up of GHS40,000.00 from own resources, GHS15,000.00 and GHS34,000.00 from 2018 and 2021 dividends respectively…"

[79] It is clear that the goodwill is for the benefit of the majority shareholders and not the 1st Respondent.

[80] However, it is trite learning that the consideration for shares must be paid or payable to the company and not to shareholders or directors. (See page 793 of **"Modern Principles of Company Law in Ghana"** (Revised Edition) by Mr. Ferdinand D. Adadzi).

[81] Thus, a person can acquire shares without having paid for it and that person would be a shareholder, notwithstanding the nonpayment. See the case of ***Adehyeman Gardens Ltd v Addibey [2003-2004] SCGLR 1016 at 1027***.

[82] However, when payment is due, the company has three options if the Shareholder fails to pay, i.e. the company may either sue the Shareholder for the payment, enter into execution and attach the shares after judgment, or the company may commence forfeiture proceedings if permitted by the Constitution of the Company (see Section 61 (3) of Act

992) or the company may exercise a lien over the shares for the unpaid liability if provided for in the Constitution of the company.

[83] In the instant case, it is my considered view that the position taken by the Respondents that the failure to pay up the goodwill to the majority shareholders resulted in the forfeiture of shares has no legal basis.

[84] The basic reason being that 'shares' is distinct from 'goodwill' as previously established. The two terms cannot be used interchangeably.

[85] Thus, the "goodwill" claimed by the 2nd to 5th Respondents cannot be attributed to the Shares held by the Applicants in the 1st Respondent company and has no bearing on same.

[86] In other words, the 'goodwill' is not an outstanding liability on the shares held by the Applicants.

[87] **Section 33 of Act 992** on the membership of a company states as follows:

> (1) The subscribers to the documents for the incorporation of a company are members of the company and upon incorporation shall be entered as members in the register of members referred to in section 35.
>
> (2) Any other person who agrees with the company to become a member of the company and whose name is entered in the register of members is a member of the company. Companies Act, 2019 45 Act 992
>
> (3) A member has the rights, duties and liabilities that are by this Act and where applicable, by the registered constitution of the company conferred and imposed on the members.
>
> (4) In the case of a company with shares, each member is a shareholder of the company and shall hold at least one share.

(5)A holder of a share is a member of the company.

(6)Membership of a company with shares continues until (a) a valid transfer of the shares held by the member is registered by the company; (b) the shares are transmitted by operation of law to another person, or forfeited for non-payment of calls; or (c) the member of the company dies.

(7)Membership of a company limited by guarantee continues until the member dies, or validly retires or is excluded from membership.

[88] Therefore, subscribers of a company as in the instant case continue to be shareholders and members of the company by virtue of their subscription and allotments of shares by implication of law until there is a valid transfer of their shares and same is registered with the company, the shares are transmitted by operation of law to another person, forfeited for non-payment of calls or where the member of the company dies.

[89] His Lordship Taylor J, In the Matter of ***Northern Engineering Co. Ltd and in the Matter of the Companies Code, 1963 (Act 179) Section 217 and Luguterah v Northern Engineering Co. Ltd and Others [1978] GLR 477-509***, stated thus:

> *"The effect of section 30 of Act 179 was to make entry in the register of the company at least some prima facie evidence of the fact of membership and the extent of shareholding. The subscriber continued to be a shareholder and a member even if the company defaulted by omitting to perform its statutory obligation of putting the subscriber's name in the register or allotting the shares to him. Even if there was deliberate refusal of the company to issue share certificates to subscribers to the regulations, those subscribers would, at least in the case of a private company, be nevertheless members and shareholders of the company by virtue of section 30 (1)."*

[90] It can be gleaned from ***Exhibit "JA8"*** (headed PERFECT PERSONAL CARE LIMITED (PPCL) PROFIT AFTER TAXX (PAT) AND DIVIDEND PAYMENT FOR THE

PERIOD 2017 TO 2022) that the 10% dividends for the Applicants for the year 2017 was **12,225.00**, **15,469.00** for the year 2018, **34,000.00** for 2021 and **41,204.00** for 2022.

[91] However, the said dividend sums for the Applicant for the said period were withheld by the 1st Respondent company. Thus same is outstanding. However, the sum of **13,120.00** for 2019 and **10,053.80** for 2020 is indicated as paid out.

[92] It is therefore established as a fact that the Applicants being subscribers to the Regulations of the 1st Respondent company are fully paid up members of 1st Respondent and do not owe any sums on their respective shareholdings in the 1st Respondent company.

Whether or not there was a valid call by the 1st Respondent of the Shares held by the Applicants in the Company

[93] It is the case of the Respondents that on 23rd August 2022, the Applicants were made aware that their failure to pay the goodwill amount by the end of the month shall amount to a forfeiture of their shares.

[94] Having already established that the Applicants do not owe any sums on their respective shareholdings in the 1st Respondent company, I further hold that the purported call on the 10% shares of the Applicants is unlawful and not valid.

[95] Consequently, I hold that no valid call was made by the 1st Respondent company in respect of the shares held by the Applicants in the 1st Respondent company at the said meeting in New York.

Whether or not the meeting held by the Respondents without any notice to the Applicants was lawful.

[96] It is trite learning that in general, meetings are in the normal course required to be convened after giving all the persons entitled to notice at least 21 days in writing. However there are some exceptions to this rule in the case of a special resolution for

voluntary liquidation of a company or where the Constitution of the company prescribes otherwise.

[97] The Notice of meeting shall contain the place, date and hour of the meeting, sufficient details of the nature of business to be conducted and the terms of any special resolution to be considered and other details where applicable.

[98] **Section 34 of Act 992** states that (1) Subject to subsection (2), and section 52, a member has the right to attend a general meeting of the company and to speak and vote on a resolution before the meeting.

[99] (2)Despite subsection (1), a registered constitution of a company may provide that a member is not entitled to attend and vote at a general meeting unless the calls or any other sums of money presently payable by that member in respect of shares in the company have been paid.

[100] It is the case of the Applicants that they were not given notices for the purported meetings held in New York on 19th September 2022 and for the meeting held in December 2022. This averment has not been denied by the Respondents in any way.

[101] The justification of the Respondents is that the Applicants had outstanding liabilities on their shares and were not entitled to be a part of the said meetings.

[102] In ***Exhibit "JA4"***, the Respondents stated as follows:

> *"…Per statutory provisions relating to calls on shares and procedure to be followed thereby and also per section 23 on FORFEITURE OF SHARES, the majority shareholders held a meeting in New York on 19th September 2022 and resolved that you be given 14days from 5th October 2022 to pay the GHS150,000 plus interest of GHS78,780 making a total of GH228,780 by 30th October,2022 or you forfeit 75% of the 10% shares allotted to you (Mr. & Mrs. Agbola). This will mean that your combined shareholding will reduce from 10% to 2.5% in line with the GHS50,000 or 25% paid out of GHS200,000…"*

[103] The Applicants have always been directors and shareholders of 1st Respondent and were entitled to be given notices for the purported meeting of the majority shareholders at New York as directors or shareholders, and that of the board on 20th December 2022, where some resolutions were allegedly passed, including the call on the shares and the appointment of Auditors.

[104] In view of the fact that the Applicants were not notified of the said meetings, I hold that the said meetings were unlawful and thereby void.

Whether or not the appointment of new Auditors by the 2nd, 3rd, 4th and 5th Respondents was lawful

[105] Having held that the meeting of 20th December 2022 was unlawful and void, I further hold that all resolutions taken, especially the purported resolution appointing new auditors for the 1st Respondent without notice to the Applicants is unlawful and thereby void.

Whether or not the payment of USD40,000 by the 2nd and 3rd Respondents to the 4th and 5th Respondents with Interest represents an illegal distribution of the assets of the company.

[106] It is the case of the Applicants that the purported return to the 4th and 5th Respondents the sum of Forty Thousand United States Dollars ($40,000) which was the consideration for their shares held in the 1st Respondent as a shareholders' loan together with interest constitutes an unlawful distribution of the assets of the 1st Respondent by the 2nd, 3rd, 4th and 5th Respondents.

[107] In response to this averment, the said Respondents deposed to the fact that the sum of Forty Thousand Dollars ($40,000.00) was a loan given to the business by 4th and 5th Respondents in 2007 which was recapitalized as an investment into the company after

same was incorporated. That, this information was known to the Applicants at the time they joined.

[108] Further, it is the case of the Respondents that the matter came up at a board meeting on 23rd August 2023 and that the members of the Board reiterated that the said $40,000 advanced by the 4th and 5th Respondents had been converted into equity hence there was no obligation on the 1st Respondent to pay the said money to 4th and 5th Respondents.

[109] Having reviewed the evidence before the court, it is my considered view that the Applicants failed to adduce sufficient evidence to prove their assertion that the 2nd and 3rd Respondents have made payment of USD40,000 to the 4th and 5th Respondents with interest.

CONCLUSION

[110] Having evaluated the evidence before the court, the relevant laws and the submissions of all the lawyers, I am of the considered view that the Applicants have proved their case on a balance of probabilities. Thus the instant application succeeds.

[111] Consequently, I make the following orders in respect of all the reliefs except Reliefs (i) and (j):

a) **I declare that the Applicants being Subscribers to the Regulations of the 1st Respondent, do not owe any sums on their respective Shareholdings in the 1st Respondent Company.**

b) **I declare that the Applicants are fully paid-up members of the Company.**

c) **I declare that the meeting of the Shareholders of the Company purportedly held in New York on 19th September 2022 and the Board Meeting of 20th December 2022 were unlawfully held and thus null and void.**

d) **Consequently, the said meetings held on 19th September 2022 and 20th December 2022 are hereby nullified with all resolutions passed thereunder.**

e) **I further declare that there was no valid call made by the 1st Respondent in respect of the shares held respectively by the Applicants in the Company.**

f) **Consequently, the 2nd, 3rd, 4th and 5th Respondents are hereby restrained from enforcing the resolutions passed at the said meeting of 19th September 2022 including the purported call on the respective shares held by the Applicants in the company.**

g) **It is my considered view that the insistence of the 2nd, 3rd, 4th and 5th Respondents that the 1st Respondent company did make a valid call on the respective shares held by the Applicants in the Company and the threats by the said 2nd, 3rd, 4th and 5th Respondents to enforce same against the Applicants are unfairly prejudicial and discriminatory under Section 219 (1) (b) of Act 992.**

   Consequently, I hereby restrain 2nd, 3rd, 4th and 5th Respondents from directorship in the 1st Respondent company for Four (4) years, effective from the date of this order.

h) **The 1st Respondent is ordered to pay to the Applicants all their dividends withheld by the 2nd , 3rd, 4th and 5th Respondents together with interests thereon at the commercial lending rates from the dates such dividends were declared till the date of final payment.**

i) **Costs of Twenty Thousand Ghana Cedis awarded in favour of the Applicants assessed against the 2nd, 3rd, 4th and 5th Respondents collectively.**

……(sgd.)..……

JUSTICE ADELAIDE ABUI KEDDEY

JUSTICE OF THE HIGH COURT

COMMERCIAL DIVISION

Counsel:

Jemima Dei, Esq., holding brief for Nutifafa Nutsukpui, Esq., for Applicants - Present

Marie Antoinette Anafi, Esq., holding brief for Dennis Adjei Dwomoh, Esq., for 1st, 2nd And 3rd Respodnents - Present

Gyan Osman, Esq., with Michael Dzakpasu, Esq., holding brief for 4th and 5th Respondents - Present

Cases

Aboagye v Tetevi (1976) 1 GLR 14

Adehyeman Gardens Ltd v Addibey [2003-2004] SCGLR 1016 at 1027 31

Asafu-Adjaye v Agyekum (1984-86) 1 GLR 382 14

Foss v Harbottle (1843) 2 Hare 461 13

Gihoc v Hanna Assi [2005-2006] SCGLR 458 at 485 15

In Re Ashalley Botwe Lands [2003-2004] SCGLR 420 15

Inland Revenue v. Muller and Co's Margarine Company, [1901] A. C. 224 20

Luguterah v Northern Engineering Co. Ltd and Others [1978] GLR 477-509 33

Madina Shopping Mall Association v Rosehill Gh. Ltd, E. M. Frimpong & Jimmy Nufu Civil Appeal No. J4/3/2009 dated 28th April, 2010 18

Odametey v Clocuh [1989-90] 1 GLR 14 15

Odonkor v Amartei [1992-93] GBR 59 15

Tuakwa v Bosom [2001-2002] SCGLR 61 15

Statutes

Section 218 of Act 992 11

Section 219 of Act 992 11

Section 42 of Act 992 20

Section 45 (1) and (2) 22

Section 45 of Act 992 22

Section 68 (1) of Act 992 22

Sections 218 and 219 of the Companies, 2019 (Act 992) 2